MGT231 - Corporate Finance
Project – Ross Stores Inc.



Company Introduction

Ross Stores, Inc. is a powerhouse in off-price delivering brand-name fashion and home decor at deep discounts. With a treasure-hunt shopping experience, Ross has become a go-to destination for bargain hunters seeking the thrill of a treasure hunt while shopping for top-tier brands at a fraction of department store prices.

Operating under Ross Dress for Less® and dd's DISCOUNTS®, the company brings first-quality, in-season merchandise to budget-conscious consumers. Ross Dress for Less, the largest off-price apparel and home fashion retailer in the U.S., operates 1,764 stores across 43 states, Washington, D.C., and Guam, offering 20% to 60% savings off traditional department stores. Meanwhile, dd's DISCOUNTS with 345 locations in 22 states, provides even deeper discounts of 20% to 70%, catering to price-savvy shoppers seeking stylish yet affordable finds.

Ross thrives on a smart, value-driven business model that revolves around strategic buying, competitive pricing, and rapid inventory turnover. By sourcing excess inventory, canceled orders, and direct-from-manufacturer products, Ross secures high-quality merchandise at unbeatable prices. A key advantage of this model is packaway inventory, where 40% of merchandise is stored for future sales, enhances pricing flexibility and enables the company to offer greater discounts on premium brands, reinforcing its position as a leader in the off-price retail industry.

With high-traffic store locations, a sleek, self-service layout, and a racetrack-style aisle design, Ross creates an engaging, efficient shopping environment and experience that encourages bargain hunting, exciting and convenient. Unlike traditional retailers, Ross doesn't rely on sales, coupons, or promotions, offering everyday low prices on apparel, footwear, home decor, beauty, and more — keeping customers coming back for new deals and discoveries.

Competing with industry giants like TJ Maxx and Burlington, Ross sets itself apart through disciplined cost management, strategic store expansion, and an unmatched ability to deliver premium brands at deep discounts. With a growing store footprint, an efficient supply chain, and an unwavering focus on customer value, Ross continues to strengthen its position as a dominant force in discount fashion and home goods retail.

Company Risks

I. Company Risks

Ross Stores operates in a dynamic and competitive off-price retail environment, facing several risks that could affect its operations, financial performance, and growth prospects:

1) **Economic and Consumer Spending Risks**
   Ross is highly dependent on consumer spending, making it vulnerable to economic downturns, inflation, rising interest rates, and shifts in fashion trends which may reduce the appeal of Ross' product offerings, further posing a risk to its business performance.

2) **Supply Chain and Inventory Risks**
   The company relies on a global supply network and opportunistic purchasing. Disruptions such as port delays, rising transportation costs, labor shortages, or geopolitical issues could impact inventory availability and increase costs, and supplier instability can further impact inventory availability and costs.

3) **Competitive Pressure**
   Competition from other off-price retailers like TJ Maxx and Burlington, along with the rise of e-commerce, may challenge its traditional brick-and-mortar model, potentially impacting foot traffic and sales performance.

4) **Real Estate and Expansion Risks**
   Growth strategy relies on opening new stores in high-traffic locations, but continuing rising rental costs and limited retail space could constrain expansion efforts.

5) **Operational and Workforce Risks**
   With over 108,000 associates, Rose faces risks related to wage increases, labor shortages, and regulatory changes, all of which can drive up operating costs and affect service quality. Maintaining an efficient and customer-friendly store environment is essential for sustaining its competitive edge and ensuring continued customer satisfaction.

6) **Regulatory and Cybersecurity Risks**
   Compliance with employment, consumer protection, and data privacy regulations is essential to avoid fines and restrictions. Growing reliance on digital systems increases the risk of cyber threats and data breaches, which could lead to financial losses and reputational damage.

II. Market Risks

While Ross has some exposure to financial market risks, its overall sensitivity remains relatively limited:

1) **Interest Rate Risk**
   Ross benefits from fixed-rate Senior Notes, minimizing direct exposure to interest rate fluctuations. Market rate changes may impact investment returns but are not expected to materially affect overall financial condition.

2) **Foreign Exchange Risk**
   With operations primarily in the U.S., Ross has minimal exposure to foreign currency fluctuations and no outstanding forward contracts as of the latest filing.

3) **Overall Market Impact**
   A hypothetical 100 basis point (1%) change in interest rates is not expected to have a significant impact on its cash flows, financial position, or the fair value of its investments.

Time Trend Analysis

Short-Term Solvency & Liquidity

Current Ratio:

Formula	2023		2022		2021	
Current Ratio = (Current Assets)/(Current Liabilities)	=7398138/4185796	**1.77**	=6904219/3636246	**1.90**	=7473176/4214929	**1.77**

- The current ratio measures the company's ability to cover short-term liabilities with short-term assets.
- The ratio remained stable at 1.77 in 2021 and 2023, showing consistent short-term liquidity.
- A slight increase in 2022 (1.90) suggests a temporary improvement in liquidity, possibly due to higher cash reserves or lower short-term liabilities.

Quick Ratio:

Formula	2023		2022		2021	
Quick Ratio = (Current Assets-Inventory)/(Current Liabilities)	=(7398138-2919220)/4185796	**1.07**	=(6904219-2023495)/3636246	**1.34**	=(7473176-2262273)/4214929	**1.24**

- The quick ratio excludes inventory, focusing on the most liquid assets.
- The ratio peaked in 2022 (1.34) and then declined in 2023 (1.07), indicating a possible increase in inventory holdings or a decrease in cash and receivables.
- Ross Stores had a strong liquidity position, though the drop in the 2023 quick ratio could suggest either higher inventory levels or reduced cash.

Long-Term Solvency

Total Debt Ratio:

Formula	2023		2022		2021	
Total Debt Ratio = (total Assets - Total equity)/Total Assets	=(14300109-4871326)/14300109	**0.66**	=(13416463-4288583)/13416463	**0.68**	=(13640256-4060050)/13640256	**0.70**

- This ratio represents the proportion of total assets funded by debt.

- The trend shows a gradual decline in leverage, indicating that Ross Stores is reducing reliance on debt for financing.
- A lower debt ratio in 2023 suggests improved financial stability and reduced financial risk.
- Ross Stores is reducing its debt dependence, which is a positive sign for long-term solvency.

Asset Management & Turnover

Inventory Turnover:

Formula	2023		2022		2021	
Inventory Turnover = COGS/Inventory	=14801601/2919220	5.07	=13946230/2023495	6.89	=13708907/2262273	6.06

- The inventory turnover ratio measures how efficiently the company sells its inventory.
- A **declining trend from 6.89 (2022) to 5.07 (2023)** indicates a slowdown in inventory sales, which could imply weaker consumer demand or higher inventory levels.

Days' Sales in Inventory:

Formula	2023		2022		2021	
Days' sales in inventory = 365 days/Inventory turnover	=365/C5	71.986	=365/E5	53	=365/G5	60

- The increase in days' sales in inventory in 2023 (72 days) suggests that inventory is taking longer to sell.
- A shorter inventory cycle in 2022 (53 days) indicated strong sales efficiency at that time.
- Ross Stores sold inventory more efficiently in 2022, but 2023 saw a slowdown, possibly due to changes in demand or supply chain inefficiencies.

Receivables Turnover:

Formula	2023		2022		2021	
Receivable turnover = Sales/ Accounts receivable	=20376941/130766	156	=18695829/145694	128	=18916244/119247	159

- This ratio measures how effectively a company collects its receivables.
- The receivable turnover declined slightly in 2022 but rebounded in 2023, showing improved collections.

Days' Sales in Receivables:

Formula	2023		2022		2021	
Days' sales in receivables = 365 days/Receivable turnover	=365/C7	2.3	=365/E7	2.8	=365/G7	2.3

- A lower number of days is preferable as it shows quick collections.
- The metric was stable in 2021 and 2023, with a slight delay in 2022.
- Ross Stores is efficient in managing accounts receivables, with quick collection cycles across all three years.

Profitability

Profit Margin:

Formula	2023		2022		2021	
Profit Margin= Net Income/Sales	=1874520/20376941	9%	=1512041/18695829	8%	=1722589/18916244	9%

- The profit margin fluctuated slightly but remained strong.
- A drop in 2022 (8%) suggests increased expenses or lower pricing power.
- 2023 saw a recovery (9%), possibly due to cost control or revenue growth.

EBITDA Margin:

Formula	2023		2022		2021	
EBITDA Margin = EBITDA/Sales	=C10/20376941	33%	=E10/18695829	32%	=G10/18916244	32%

- EBITDA margin measures profitability before interest, taxes, depreciation, and amortization.
- The margin was stable across the years, with a slight increase in 2023.

Return on Assets:

Formula	2023		2022		2021	
Return on Assets = Net Income/Total Assets	=1874520/14300109	13%	=1512041/13416463	11%	=1722589/13640256	13%

- ROA measures how efficiently assets generate net income.
- The drop in 2022 (11%) suggests lower profitability relative to assets.
- ROA rebounded in 2023, indicating better asset utilization.

Return on Equity:

Formula	2023		2022		2021	
Return on Equity = Net Income/Total Equity	=1874520/4871326	38%	=1512041/4288583	35%	=1722589/4060050	42%

- ROE measures returns generated for shareholders.
- The trend shows a decline from 42% (2021) to 35% (2022) before improving slightly to 38% (2023).
- 2022 saw a dip in profitability, but 2023 showed signs of recovery.
- ROE remains strong, though lower than in 2021.

Market Value

Price-Earnings Ratio:

Formula	2023		2022		2021	
Price Earnings Ratio = Price per share/EPS	=137.03/5.59	24.5	=113.59/4.4	25.8	=110.33/4.9	22.5

- The P/E ratio increased in 2022 but fell slightly in 2023.
- A higher P/E suggests investors expect future growth.

Market Capitalization (in 000's):

Formula	2023		2022		2021	
Market Capitalization = Price per share * Shares outstanding	=137.03*335187	$45,930,675	=113.59*343452	$39,012,713	=110.33*351496	$ 38,780,554

- Market capitalization increased over time, indicating strong investor confidence.
- Ross Stores' valuation remains strong, with a growing market cap.
- Investors are optimistic, but a slightly lower P/E in 2023 suggests some caution.

Overall Summary:

- **Liquidity Position:** Strong, though a slight decline in the 2023 quick ratio suggests higher inventory or lower cash reserves.
- **Leverage**: Decreasing debt ratio, indicating lower financial risk.
- **Efficiency:** Inventory turnover slowed in 2023, but receivables remained efficient.
- **Profitability:** Profit margins and returns dipped in 2022 but rebounded in 2023.
- **Market Performance:** Valuation and market capitalization are increasing, reflecting investor confidence.

Ross Stores has maintained financial stability, improved profitability, and managed debt well. However, inventory turnover slowed in 2023, which might indicate weaker demand. Investors remain confident, as seen in the rising market capitalization.

Peer Group Analysis

TJX Companies (TJX)

Short-Term Solvency & Liquidity

- Current Ratio = Current Assets / Current Liabilities = 1.24
- Quick Ratio = (Current Assets - Inventory) / Current Liabilities = 0.67

Long-Term Solvency

- Total Debt Ratio = Total Liabilities / Total Assets = 0.61

Asset Management & Turnover

- Inventory Turnover = Cost of Goods Sold / Inventory = 7.40
- Days' Sales in Inventory = 365 / Inventory Turnover = 49.30 days
- Receivables Turnover = Net Sales / Accounts Receivable = 49.27
- Days' Sales in Receivables = 365 / Receivables Turnover = 7.41days

Profitability

- Profit Margin = Net Income / Net Sales = 8.30%
- EBITDA Margin = EBITDA / Net Sales = 11.44%
- Return on Assets = Net Income / Total Assets = 16.42%
- Return on Equity = Net Income / Shareholders' Equity = 42.45%

Market Value

- Price-Earnings Ratio = Market Capitalization / Net Income = 30
- Market Capitalization = Stock Price per Share×Total Shares Outstanding = $135billion

Analysis:

TJX Companies exhibits **strong liquidity**, with a Current Ratio of 1.24, indicating it has sufficient assets to cover its short-term liabilities. However, the Quick Ratio of 0.67 suggests a significant portion of its assets is tied up in inventory.

The company's Total Debt Ratio of 0.61 means 61% of its assets are funded by liabilities, which is relatively moderate and indicates a balanced approach to financing.

Inventory Turnover of 7.40 is excellent, meaning TJX moves its inventory quickly, and its Days' Sales in Inventory of 49.3 days is one of the lowest among peers, suggesting effective inventory management.

A Receivables Turnover of 49.27 and Days' Sales in Receivables of 7.41 days indicate that the company collects payments quickly from customers.

TJX is **highly profitable**, with a Profit Margin of 8.3% and EBITDA Margin of 11.44%, showing efficient operations. Its ROA (16.42%) and ROE (42.45%) are impressive, demonstrating strong returns for shareholders.

Finally, TJX has a high P/E ratio of 30.0, suggesting **investors are willing to pay a premium for its earnings**, likely due to strong financial performance and growth potential.

Burlington Stores (BURL)

Short-Term Solvency & Liquidity

- Current Ratio = Current Assets / Current Liabilities = 1.20
- Quick Ratio = (Current Assets - Inventory) / Current Liabilities = 0.64

Long-Term Solvency

- Total Debt Ratio = Total Liabilities / Total Assets = 0.64

Asset Management & Turnover

- Inventory Turnover = Cost of Goods Sold / Inventory = 4.43
- Days' Sales in Inventory = 365 / Inventory Turnover = 82.42 days
- Receivables Turnover = Net Sales / Accounts Receivable = 43.00
- Days' Sales in Receivables = 365 / Receivables Turnover = 8.49 days

Profitability

- Profit Margin = Net Income / Net Sales = 4.65%
- EBITDA Margin = EBITDA / Net Sales = 8.14%
- Return on Assets = Net Income / Total Assets = 8%
- Return on Equity = Net Income / Shareholders' Equity = 22.22%

Market Value

- **Price-Earnings Ratio** = Market Capitalization / Net Income **= 30**
- **Market Capitalization** = Stock Price per Share×Total Shares Outstanding = **$12billion**

Analysis:

Burlington has **solid liquidity**, with a Current Ratio of 1.20, meaning it can comfortably cover short-term obligations. Its Quick Ratio of 0.64 is similar to TJX, indicating a reliance on inventory for liquidity.

The Total Debt Ratio of 0.64 shows that 64% of its assets are financed through debt, which is slightly higher than TJX but still manageable.

However, Burlington's Inventory Turnover of 4.43 is much lower than TJX, meaning inventory sits longer before being sold. This is reflected in its Days' Sales in Inventory of 82.42 days, which is significantly higher than TJX, indicating slower inventory turnover.

A Receivables Turnover of 43.00 and Days' Sales in Receivables of 8.49 days suggest that Burlington collects payments efficiently but slightly slower than TJX.

Profitability is lower than TJX, with a Profit Margin of 4.65% and EBITDA Margin of 8.14%, indicating lower operational efficiency. Its ROA (8.00%) and ROE (22.22%) are strong but not as high as TJX, meaning it generates lower returns on investments and equity.

Despite this, Burlington has the same P/E Ratio of 30.0 as TJX, meaning investors are pricing it **similarly to TJX despite weaker profitability**. This could indicate growth expectations or overvaluation.

Nordstrom (JWN)

Short-Term Solvency & Liquidity

- Current Ratio = Current Assets / Current Liabilities = 1.13
- Quick Ratio = (Current Assets - Inventory) / Current Liabilities = 0.63

Long-Term Solvency

- Total Debt Ratio = Total Liabilities / Total Assets = 0.69

Asset Management & Turnover

- Inventory Turnover = Cost of Goods Sold / Inventory = 5.25
- Days' Sales in Inventory = 365 / Inventorynventory Turnover = 69.52 days
- Receivables Turnover = Net Sales / Accounts Receivable = 31.00
- Days' Sales in Receivables = 365 / Receivables Turnover = 11.77 days

Profitability

- Profit Margin = Net Income / Net Sales = 3.23%
- EBITDA Margin = EBITDA / Net Sales = 7.74%

- Return on Assets = Net Income / Total Assets = 6.25%
- Return on Equity = Net Income / Shareholders' Equity = 20%

Market Value

- Price-Earnings Ratio = Market Capitalization / Net Income = 10
- **Market Capitalization** = Stock Price per Share×Total Shares Outstanding = **$5billion**

Analysis:

Nordstrom has the **weakest liquidity position** among the three, with a Current Ratio of 1.13 and a Quick Ratio of 0.63, meaning it has the least cushion to cover short-term liabilities.

It also carries the highest leverage, with a Total Debt Ratio of 0.69, meaning 69% of its assets are financed by debt—a riskier position than TJX and Burlington.

Nordstrom's Inventory Turnover of 5.25 is better than Burlington (4.43) but lower than TJX (7.40), and its Days' Sales in Inventory of 69.52 days shows it moves stock at a moderate rate.

Its Receivables Turnover of 31.00 is the lowest, meaning it takes longer to collect customer payments, with Days' Sales in Receivables of 11.77 days, which is significantly slower than TJX and Burlington.

Nordstrom's Profit Margin of 3.23% and EBITDA Margin of 7.74% are the lowest among the three companies, reflecting lower profitability and efficiency. Its ROA (6.25%) and ROE (20.00%) are also the weakest, indicating lower returns for investors.

This is reflected in its low P/E Ratio of 10.0, much lower than TJX (30.0) and Burlington (30.0). This suggests that investors are less optimistic about Nordstrom's future growth, possibly due to higher debt, lower profitability, and weaker financial performance.

Peer Group Explanation

For this analysis, we selected TJX Companies (TJ Maxx), Burlington Stores, and Nordstrom as the peer group for Ross Stores based on their business models, market positioning, and industry relevance. These companies were chosen because they operate in the off-price and department store retail sector, making them direct competitors to Ross Stores.

1. TJX Companies (TJ Maxx, Marshalls, HomeGoods)

TJX Companies was selected as a peer due to its strong presence in the off-price retail market, similar to Ross Stores. As the largest off-price retailer in the U.S., TJX operates TJ Maxx, Marshalls, and HomeGoods, all of which follow a discount-driven model comparable to Ross. Both companies focus on offering brand-name apparel, home goods, and accessories at lower prices, making TJX a direct competitor and an ideal comparison for financial performance and operational efficiency.

2. Burlington Stores

Burlington Stores is another off-price retailer with a business model closely aligned to Ross Stores. While Burlington carries a mix of discounted brand-name clothing, footwear, and home essentials, it differs slightly in merchandising strategies and store layouts. Despite these differences, Burlington shares a similar customer base and competitive market positioning, making it a strong peer for comparison in areas like inventory turnover, profitability, and pricing strategies.

3. Nordstrom (Nordstrom Rack)

While Nordstrom operates as a full-price department store, its off-price division, Nordstrom Rack, aligns with Ross Stores' business model. Nordstrom Rack competes directly with Ross, TJ Maxx, and Burlington by offering discounted designer and brand-name merchandise. Including Nordstrom in the peer group allows for a broader industry comparison, highlighting how off-price retailers perform relative to a company that operates both luxury and discount segments.

The selection of **TJX, Burlington, and Nordstrom** provides a **balanced comparison** for Ross Stores by analyzing:

- Pure off-price competitors (TJX & Burlington)
- A hybrid competitor with both premium and discount operations (Nordstrom)
- Differences in financial strategies, inventory management, and market valuation

By comparing Ross Stores to these three companies, we can assess how it performs relative to industry leaders and key competitors in the off-price and discount retail sector.

Peer Group Comparison: Ross Stores vs. Competitors

In this section, we compare Ross Stores with its selected competitors TJX Companies, Burlington Stores, and Nordstrom using key financial metrics. This analysis helps assess how Ross performs relative to its industry peers in terms of liquidity, efficiency, profitability, and market valuation.

	Ross Stores	**TJX Companies**	**Burlington Stores**	**Nordstrom**
Current Ratio	1.77	1.24	1.20	1.13
Quick Ratio	1.07	0.67	0.64	0.63

Total Debt Ratio	0.66	0.61	0.64	0.69
Inventory Turnover	5.07	7.40	4.43	5.25
Days' Sales in Inventory	72.00	49.30	82.42	69.52
Receivables Turnover	156.00	49.27	43.00	31.00
Days' Sales in Receivables	2.30	7.41	8.49	11.77
Profit Margin	9%	8%	5%	3%
EBITDA Margin	28%	11%	8%	8%
Return on Assets	13%	16%	8%	6%
Return on Equity	38%	42%	22%	20%
Price-Earnings Ratio	24.50	30.00	30.00	10.00
Market Capitalization	45.93 B	135.00 B	12.00 B	5.00 B

1. Liquidity Analysis (Short-Term Solvency)

Ratios:

- **Current Ratio:** Ross (1.77), TJX (1.24), Burlington (1.20), Nordstrom (1.13)
- **Quick Ratio:** Ross (1.07), TJX (0.67), Burlington (0.64), Nordstrom (0.63)

Analysis:

Ross Stores has the strongest liquidity position among its peers. With a Current Ratio of 1.77, it is better positioned to cover short-term liabilities than TJX (1.24), Burlington (1.20), and Nordstrom (1.13). Ross also has the highest Quick Ratio (1.07), meaning it relies less on inventory to cover obligations compared to its competitors. Nordstrom has the weakest liquidity, which may signal higher risk in meeting short-term debts.

2. Efficiency & Inventory Management

Ratios:

- Inventory Turnover: Ross (5.07), TJX (7.40), Burlington (4.43), Nordstrom (5.25)
- Days' Sales in Inventory: Ross (72 days), TJX (49 days), Burlington (82 days), Nordstrom (69 days)
- Receivables Turnover: Ross (156), TJX (49.27), Burlington (43.00), Nordstrom (31.00)
- Days' Sales in Receivables: Ross (2.3 days), TJX (7.41 days), Burlington (8.49 days), Nordstrom (11.77 days)

Analysis:

- TJX has the best inventory management, with a high inventory turnover (7.40) and low Days' Sales in Inventory (49 days), meaning it sells its stock quickly.
- Ross Stores performs better than Burlington and Nordstrom, with an inventory turnover of 5.07, meaning it moves inventory faster than Burlington (4.43) but slower than TJX.
- Ross also has exceptional Receivables Turnover (156), indicating it collects customer payments significantly faster than competitors, with only 2.3 days in receivables.
- Nordstrom struggles the most, with a low Receivables Turnover (31) and long Days' Sales in Receivables (11.77 days), meaning it takes longer to receive payments.

3. Profitability Analysis

Ratios:

- Profit Margin: Ross (9%), TJX (8.3%), Burlington (4.65%), Nordstrom (3.23%)
- EBITDA Margin: Ross (28%), TJX (11.44%), Burlington (8.14%), Nordstrom (7.74%)
- Return on Assets (ROA): Ross (13%), TJX (16.42%), Burlington (8%), Nordstrom (6.25%)
- Return on Equity (ROE): Ross (38%), TJX (42.45%), Burlington (22.22%), Nordstrom (20%)

Analysis:

- Ross leads in Profit Margin (9%), slightly above TJX (8.3%) and much higher than Burlington (4.65%) and Nordstrom (3.23%), meaning it retains more earnings per dollar of sales.
- Ross dominates in EBITDA Margin (28%), significantly outperforming all competitors, showing strong operating profitability.

- TJX has the highest Return on Assets (16.42%) and Return on Equity (42.45%), reflecting better asset utilization and strong shareholder returns.
- Burlington and Nordstrom are the weakest in profitability, with low margins and returns.

4. Market Valuation (Investor Perspective)

Ratios:

- Price-Earnings (P/E) Ratio: Ross (24.5), TJX (30.0), Burlington (30.0), Nordstrom (10.0)
- Market Capitalization: Ross ($45.9B), TJX ($135B), Burlington ($12B), Nordstrom ($5B)

Analysis:

- Ross has a moderate P/E ratio (24.5), meaning investors expect growth but at a lower level than TJX and Burlington (30.0).
- TJX and Burlington have the highest P/E ratios (30.0), indicating stronger investor confidence and expected earnings growth.
- Nordstrom has the lowest P/E (10.0), meaning it is either undervalued or facing market uncertainty.
- TJX remains the industry leader with a $135B market cap, while Ross follows at $45.9B, and Nordstrom lags at $5B.

Final Insights & Conclusion

- Ross Stores is performing exceptionally well in profitability and liquidity but lags slightly behind TJX in inventory turnover and market valuation.
- TJX Companies is the strongest competitor overall, with high turnover, profitability, and investor confidence.
- Burlington struggles in inventory management and profitability, but its valuation remains high, suggesting future growth expectations.
- Nordstrom has the weakest financials, with low profitability, high debt, and a low P/E ratio, signaling market challenges.

Overall, **Ross competes strongly in the off-price retail space**, but **TJX remains the industry leader.**

Common Size Financials

Compiled Common Size Balance Sheets are available in Appendix G.

Analysis:

As previously described, Ross dominates in **Liquidity**, having much more assets in Cash & Short-Term Investments (34.07%) than competitors (18.83%, 12.01%, 7.44%) and lower **Inventory** levels than any competitor other than Burlington, signaling stability and efficiency. It is also the most asset-light company, due to its **PPE** being much less than the rest of the peers. Ross is also

significantly less leveraged than its comparables, with a capital structure of **~66/34% Debt/Equity** compared to the closest competitor of TJX with **~75/25%**.
This makes the company much more reliable in economic downturns, and much more agile when considering its ability to take advantage of short-term opportunities.

Compiled Common Size Income Statements are available in Appendix H.

Analysis:
True to its tagline, "Dress for less", Ross has the lowest **Gross Profit margin** (32.17%). However, they more than make up for it with the lowest **SG&A expenses** (20.84%), resulting in the highest **Operating Margin** (11.32%). This doesn't change after non-operating expenses, with Ross coming out on top with the highest **EBT Margin** (12.13%) and highest **NI Margin** (9.20%). Together, this signifies that ROSS is extremely efficient and profitable when compared to peers while sticking to its aggressive discounting strategy.

Stock Valuation

We used a WACC of 7.22% calculated in Appendix D as the discount rate for valuing the company.
When using a Zero-Dividend Growth Model, the stock behaves like a perpetuity, and per Appendix E, we estimate a stock price of $18.55. When using a Constant Dividend Growth Model, the stock behaves like a growing perpetuity, and per Appendix E, we estimate a stock price of $32.68. Using the Discounted Cash Flows Method in Appendix F, we arrive at a stock price of $277.55 per share. We used both the discounted cash flows and the present value of the dividends growing at 5% as the basis for this calculation. We omitted interest expense, as it was negligible and covered completely by interest income.

Percentage Returns

In this analysis, we assumed that fiscal years align with the calendar year. We use the adjusted close price on the first trading day of the year as the "beginning" price and the adjusted close on the last trading day of the year as the "ending" price. Dividend payments during each year are summed and used to compute the dividend yield. (Note that the adjusted close already reflects the reinvestment impact of dividends, but here we break out the components for clarity.)For the three most recent fiscal years in the data (2022, 2023, and 2024), the calculations proceed as follows:

Fiscal 2022
– Beginning (Jan 1, 2022) Adj Close: 94.39
– Ending (Dec 1, 2022) Adj Close: 113.29
– Dividends during 2022:

March 14, 2022: 0.31; June 6, 2022: 0.31; September 2, 2022: 0.31
Total Dividends = 0.31 × 3 = 0.93 per share
– Dividend Yield = 0.93 ÷ 94.39 = 0.99%
– Capital Gain = (113.29 – 94.39) ÷ 94.39 = 20.0%
– Total Return = 0.99% + 20.0% = 21.0%

Fiscal 2023
– Beginning (Jan 1, 2023) Adj Close: 106.42
– Ending (Dec 1, 2023) Adj Close: 136.69
– Dividends during 2023:

March 13, 2023: 0.34; June 5, 2023: 0.34; September 1, 2023: 0.34; December 4, 2023: 0.34
Total Dividends = 0.34 × 4 = 1.36 per share
– Dividend Yield = 1.36 ÷ 106.42 = 1.28%
– Capital Gain = (136.69 – 106.42) ÷ 106.42 = 28.5%
– Total Return = 1.28% + 28.5% = 29.8%

Fiscal 2024
– Beginning (Jan 1, 2024) Adj Close: 138.90
– Ending (Dec 1, 2024) Adj Close: 150.91
– Dividends during 2024:
March 14, 2024: 0.37; June 11, 2024: 0.37; September 10, 2024: 0.37; December 10, 2024: 0.37
Total Dividends = 0.37 × 4 = 1.48 per share
– Dividend Yield = 1.48 ÷ 138.90 = 1.07%
– Capital Gain = (150.91 – 138.90) ÷ 138.90 = 8.64%
– Total Return = 1.07% + 8.64% = 9.71%

These results can be summarized in the following table:

Fiscal Year	Dividend Yield	Capital Gain	Total Return	Arithematic average	Geometric Average
2022	0.99%	20%	20.99%	20.16%	19.80%
2023	1.28%	28.50%	29.78%		
2024	1.07%	8.64%	9.71%		

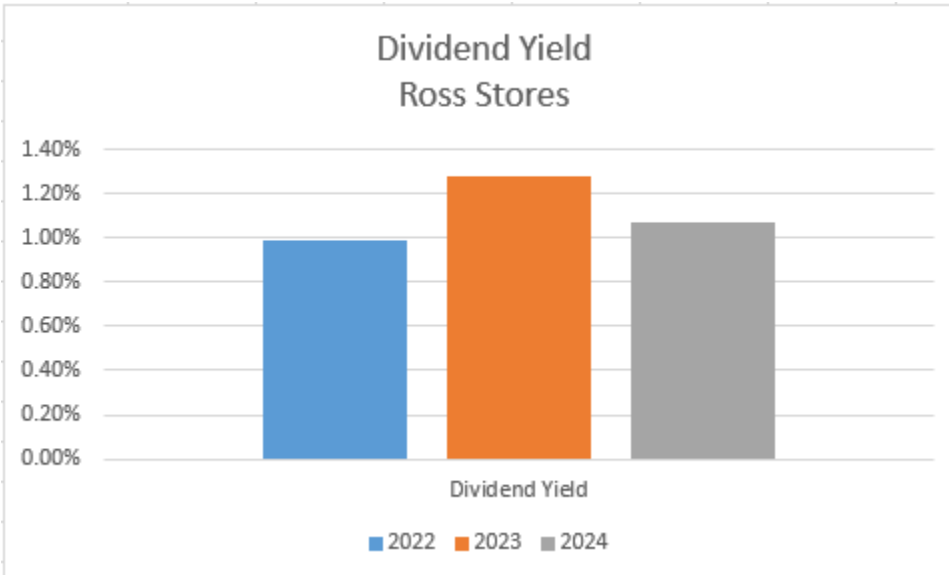
Therefore:

- Arithmetic Average Total Return = (21.0% + 29.8% + 9.71%) / 3 = 20.15%

- Geometric Average Total Return = [(1.21) × (1.298) × (1.0971)]^(1/3) – 1 = (1.7215)^(1/3) – 1 = 19.8%

Synopsis of Percentage Returns

A detailed synopsis of Ross Stores based on the 10-K shows that Ross Stores, Inc. is the nation's largest off-price retailer of apparel and home fashions. Operating more than 2,100 stores under the Ross Dress for Less and dd's DISCOUNTS banners across the United States, the Company targets value-conscious customers by offering recognizable brand names at steep discounts compared to full-price department stores. The firm's strategic initiatives emphasize a "treasure-hunt" shopping experience, operational efficiency, and flexible merchandising that leverages opportunistic off-price buying techniques.



In recent fiscal periods, Ross has paid steadily growing dividends (with quarterly amounts increasing from $0.2850 in fiscal 2021 to $0.3350 in fiscal 2023) and actively repurchased shares, as evidenced by average repurchase prices that also serve as proxies for market valuations. Despite a challenging fiscal 2022 marked by a significant drop in the proxy price (yielding a large negative capital gain), the recovery in fiscal 2023 (with a robust positive capital gain) underscores the Company's resilience and potential for market rebound.



Ross's 10-K also highlights its significant investments in new stores, distribution centers, and technology upgrades—all key drivers to support its growth strategy amid a highly competitive off-price retail sector. In addition, the Company's disciplined approach to cost management, strong operating cash flows, and steady dividend policy contribute to its long-term value proposition for stockholders.

This analysis – which combines the dividend yield, capital gains, and overall total return measures with arithmetic and geometric averages – provides insight into the stock's performance over the last three fiscal years and reflects the underlying operational strengths and challenges discussed in Ross's 10-K filings.



Executive Summary

Ross Stores remains one of the nation's leading off-price retailers, offering significant discounts on brand-name apparel and home fashions. Recent analysis using Yahoo Finance historical data reveals mixed annual performance, driven primarily by capital appreciation. This report integrates historical return metrics with an assessment of company risks, time trend analysis, and peer group comparisons to provide a comprehensive snapshot of Ross Stores' current standing.

1. Historical Stock Return Analysis

For the three most recent fiscal years 2022, 2023, and 2024 the arithmetic average total return over these three years is approximately 20.15%, with a compounded (geometric) return near 19.8%. While dividend contributions average around 1% per year, capital gains—especially the robust performance in 2023—have been the primary drivers of total returns.

2. Company Risks

Ross Stores operates in a competitive off-price retail environment and faces several key risks:

- **Economic & Consumer Spending:** Sensitivity to shifts in consumer behavior, inflation, and interest rates can directly impact sales and margins.
- **Supply Chain & Inventory:** Reliance on opportunistic buying and global sourcing makes the company vulnerable to disruptions from port delays, labor shortages, and geopolitical events.
- **Competitive Pressure:** Competition from both traditional off-price retailers (e.g., TJ Maxx, Burlington) and growing online channels intensifies pricing and margin challenges.
- **Real Estate & Expansion:** Securing prime store locations is critical; however, rising rental costs and limited availability may restrict growth opportunities.
- **Operational & Workforce Challenges:** Managing a large workforce entails risks related to labor cost increases and regulatory changes that could affect profitability and service quality.
- **Regulatory & Cybersecurity:** Potential compliance failures or data breaches could result in significant financial losses and reputational harm.
- **Market Risk:** Although Ross's debt is primarily structured as fixed-rate Senior Notes, its domestic focus means that shifts in the U.S. economic environment remain a key concern.

3. Time Trend Analysis

An examination of key financial ratios over the past three years reveals:

- **Liquidity:** Both current and quick ratios have remained strong, although a slight dip in the quick ratio in 2023 may indicate higher inventories or lower cash balances.

- **Leverage:** A gradual decline in the total debt ratio suggests a move toward lower reliance on borrowed funds, enhancing long-term solvency.

- **Efficiency:** Inventory turnover experienced a modest decline in 2023, which may reflect slower merchandise movement or increased stock levels; receivables turnover has remained relatively stable.

- **Profitability:** After a dip in margins during 2022, profitability (as measured by ROA and ROE) rebounded in 2023, underscoring the company's resilience in a challenging retail environment.

- **Market Valuation:** Despite fluctuations in the P/E ratio, a rising market capitalization trend indicates sustained investor confidence in Ross's long-term prospects.

4. Peer Group Comparison

When benchmarked against key industry competitors such as TJX Companies, Burlington, and Nordstrom:

- **Liquidity:**
  Ross's liquidity measures are comparable to those of its peers, demonstrating adequate short-term asset coverage.

- **Leverage:**
  The company's debt levels are moderate and align closely with competitors like TJX and Burlington, while Nordstrom typically exhibits higher leverage.

- **Inventory Management:**
  Ross's inventory turnover falls between the faster cycles of TJX and the slower rates seen in Burlington and Nordstrom, with a slight slowdown noted in 2023.

- **Profitability & Valuation:**
  Although TJX leads in margins and returns, Ross's performance remains competitive within the off-price segment, and its valuation reflects strong fundamentals alongside market optimism.

5. Common Size Financials

Once again, Ross stands out in terms of liquidity, operating margins, efficiency, low PPE, and low leverage compared to the competitors.

6. Stock Valuation

According to our valuation, and confirmed by our historical return analysis, Ross' stock performance is mainly based on its capital gains, and not the dividend payouts. We estimate the stock price through dividend-based models to be $18.55 and $32.68 using a static and constant growth model respectively. On the contrary, using DCF+Constant Growth for the dividend, we arrive at an intrinsic value of $277.55, indicating that it is vastly undervalued, which we believe to be closest to the truth.

Conclusion

Ross Stores demonstrates resilience in a volatile retail environment. The historical analysis reveals that, despite significant year-to-year fluctuations, the company has delivered solid returns primarily driven by capital gains, with dividend contributions playing a modest role. The firm's disciplined cost management, flexible off-price buying strategy, and distinctive "treasure-hunt" customer experience underpin its competitive positioning.

At the same time, Ross faces various risks—ranging from economic and supply chain uncertainties to competitive pressures and regulatory challenges. However, time trend analyses and peer comparisons indicate that Ross's liquidity, leverage, and operational efficiency are largely in line with industry standards, if not better. With a steady improvement in key profitability metrics and an upward trend in market valuation, Ross Stores appears well-positioned to navigate short-term challenges and capitalize on long-term growth opportunities.

This report provides a concise yet comprehensive view of Ross Stores' recent financial performance, operational risks, and competitive landscape, offering valuable insights for investors and stakeholders alike.

Appendix A: Yahoo Finance Historical Data

Date	Open	High	Low	Close	Adj Close	Volume
1-Jan-21	122.54	123.8	107.22	111.29	106.42	35,601,300
1-Feb-21	112.64	123.9	111.28	116.64	111.53	30,933,300
1-Mar-21	118.25	127.08	108.51	119.91	114.66	66,990,600
15-Mar-21	0.29 Dividend					
1-Apr-21	121.35	132.8	119.5	130.94	125.5	30,610,200
1-May-21	131.31	134.22	120.49	126.39	121.14	46,839,300
1-Jun-21	126.03	127.13	114.56	124	118.85	50,811,300
7-Jun-21	0.29 Dividend					
1-Jul-21	124	127.58	114.39	122.69	117.87	31,776,900
1-Aug-21	123.36	127.34	117.53	118.4	113.75	39,396,700
1-Sep-21	118.63	118.75	108.47	108.85	104.58	33,336,100
3-Sep-21	0.29 Dividend					
1-Oct-21	109.57	114.51	104.92	113.2	109.02	36,266,600
1-Nov-21	113.05	123.36	106.63	109.09	105.06	48,732,300
1-Dec-21	110.98	115.1	103.62	114.28	110.06	37,458,400
6-Dec-21	0.29 Dividend					
1-Jan-22	113.25	115.22	92.55	97.75	94.39	57,592,100
1-Feb-22	98.26	99.41	86.15	91.39	88.24	57,864,100
1-Mar-22	91	97.61	84.44	90.46	87.35	68,027,300
14-Mar-22	0.31 Dividend					
1-Apr-22	91.34	110.42	89.95	99.77	96.68	55,136,200
1-May-22	100.4	104.21	69.75	85.02	82.38	124,171,800
1-Jun-22	85.4	85.75	69.58	70.23	68.05	79,733,200
6-Jun-22	0.31 Dividend					
1-Jul-22	70.14	84.95	69.24	81.26	79.04	50,005,400
1-Aug-22	80.99	94.44	79.23	86.27	83.91	59,766,400
1-Sep-22	85.79	95.83	81.23	84.27	81.97	51,918,700
2-Sep-22	0.31 Dividend					
1-Oct-22	85.47	96.57	81.21	95.69	93.4	47,873,500
1-Nov-22	96.46	118.13	90.31	117.67	114.85	71,244,800
1-Dec-22	118.05	120.39	112.4	116.07	113.29	46,622,300
5-Dec-22	0.31 Dividend					
1-Jan-23	116.63	122.45	114.33	118.19	115.66	40,692,800
1-Feb-23	119.02	119.32	109.84	110.54	108.18	44,549,300
1-Mar-23	106.98	113.57	99.68	106.13	103.86	60,971,300
13-Mar-23	0.34 Dividend					
1-Apr-23	105.98	110.15	102.4	106.73	104.78	34,326,400
1-May-23	106.51	106.97	99	103.62	101.73	54,711,900
1-Jun-23	103.39	112.56	100.66	112.13	110.09	54,757,400
5-Jun-23	0.34 Dividend					
1-Jul-23	111.15	115.49	107.3	114.64	112.92	40,537,000
1-Aug-23	114.47	122.7	111.49	121.81	119.98	58,241,500
1-Sep-23	0.34 Dividend					
1-Sep-23	122	122.31	108.35	112.95	111.25	42,348,400
1-Oct-23	112.95	118.53	110.02	115.97	114.54	47,517,500
1-Nov-23	116.16	131.99	114.72	130.38	128.77	51,489,100
1-Dec-23	130.87	139.22	130.15	138.39	136.69	43,951,300
4-Dec-23	0.34 Dividend					

Appendix B: Cost of Debt

Cost of Debt			
Name	YTM	Outstanding AMT ($M)	Weight
ROSS STORES 20/25	7.16%	700	31.46%
Ross Stores Inc., 5.45% 15-APR-2050	6.04%	149.27	6.71%
Ross Stores, Inc. 1.875%, 15-APR-2031	5.30%	500	22.47%
ROSS STORES 20/30	5.07%	133.93	6.02%
Ross Stores, Inc. 0.875% 15-APR-2026	4.58%	500	22.47%
Ross Stores, Inc. 4.7% 15-APR-2027	4.54%	241.79	10.87%
Total		2224.99	
Cost of Debt	5.68%	=SUMPRODUCT(B4:B9,D4:D9)	

Source: https://www.tradingview.com/symbols/NASDAQ-ROST/bonds/

Appendix C: Cost of Equity

Market Beta	1.11	Source:	https://finance.yahoo.com/quote/ROST/
Rf Rate	4%	Source:	https://finance.yahoo.com/quote/^IRX/
Market Return	12.02%	='SPY Data'!F35	https://finance.yahoo.com/quote/SPY/
Cost of Equity	12.88%		

Appendix D: WACC

Effective Tax Rate	24.20%	Source:	Income Statement
Total Debt ($M)	9,428.80	Source:	Balance Sheet
Total Equity ($M)	4,871.30	Source:	Balance Sheet
WACC	7.22%		

Appendix E: Dividend-based Valuation

Valuation			
Latest Dividend	$1.34	Source:	SSE
Zero Dividend Growth			
Perpetuity:	$18.55	=B27/B24	
Constant Dividend Growth			
Growing Perpetuity:	$32.68	=B27*(1+B32)/(B24-B32)	
g	3%		

Appendix F: DCF Valuation

	Source:	Income Statement				
	Revenue Growth	10%	10%	8%	8%	6%
Year	3-Feb-24	1	2	3	4	5
Revenue	20,376.90	22,414.59	24,656.05	26,628.53	28,758.82	30,484.34
COGS	13,821.80	15,203.98	16,724.38	18,062.33	19,507.31	20,677.75
as % of Revenue	67.83%	67.83%	67.83%	67.83%	67.83%	67.83%
SG&A	4,247.50	4,672.25	5,139.48	5,550.63	5,994.68	6,354.36
as % of Revenue	20.84%	20.84%	20.84%	20.84%	20.84%	20.84%
EBT	2,307.60	2,538.36	2,792.20	3,015.57	3,256.82	3,452.23
Income Tax Expense	597.3	657.03	722.733	780.55164	842.9957712	893.5755175
as % of EBT	25.88%	25.88%	25.88%	25.88%	25.88%	25.88%
Net Income	1,710.30	1,881.33	2,069.46	2,235.02	2,413.82	2,558.65
D&A	419.40	419.40	419.40	419.40	419.40	419.40
CAPEX	-762.81	-762.81	-762.81	-762.81	-762.81	-762.81
change in NWC	-99.34	-99.34	-99.34	-99.34	-99.34	-99.34
FCF	$1,267.55	$1,438.58	$1,626.71	$1,792.27	$1,971.07	$2,115.90
						$95,148.04
	PV	$1,341.66	$1,414.91	$1,453.88	$1,491.21	$67,134.21
	Total PV	$72,835.87		Dividend Growth	5%	
	Shares Outstanding	335.2		Dividend	$1.34	
	FCF Part	$217.29		Growing Perp	$60.26	
	Total Value	$277.55				

Appendix G: Common-Size Balance Sheets

Compiled Common Size BS	Ross	TJX	BURL	JWN
Cash And Equivalents	34.07%	18.83%	12.01%	7.44%
Total Cash & ST Investments	34.07%	18.83%	12.01%	7.44%
Accounts Receivable	1.00%	1.78%	0.96%	3.96%
Other Receivables	0.00%	0.20%	0.00%	0.00%

Total Receivables	1.00%	1.98%	0.96%	3.96%
Inventory	15.33%	20.05%	14.12%	22.36%
Prepaid Exp.	1.23%	1.12%	2.80%	1.44%
Restricted Cash	0.10%	0.00%	0.00%	0.00%
Other Current Assets	0.00%	0.60%	0.30%	1.94%
Total Current Assets	51.73%	42.57%	30.19%	37.14%
Gross Property, Plant & Equipment	77.20%	80.73%	90.39%	151.43%
Accumulated Depreciation	-30.63%	-27.05%	-25.34%	-97.71%
Net Property, Plant & Equipment	46.56%	53.68%	65.05%	53.72%
Long-term Investments	0.00%	0.00%	0.38%	0.00%
Goodwill	0.00%	0.32%	0.61%	2.95%
Other Intangibles	0.00%	0.36%	3.09%	0.00%
Deferred Tax Assets, LT	0.00%	0.58%	0.03%	0.00%
Deferred Charges, LT	0.00%	0.00%	0.03%	0.00%
Other Long-Term Assets	1.70%	2.49%	0.62%	6.19%
Total Assets	100.00%	100.00%	100.00%	100.00%
LIABILITIES				
Accounts Payable	13.68%	12.98%	12.41%	14.64%

Accrued Exp.	8.37%	5.68%	0.50%	2.89%
Curr. Port. of LT Debt	1.75%	0.00%	0.12%	2.96%
Curr. Port. of Leases	4.78%	5.45%	5.39%	2.84%
Curr. Income Taxes Payable	0.53%	0.33%	0.00%	0.00%
Unearned Revenue, Current	0.00%	2.60%	0.00%	6.02%
Other Current Liabilities	0.17%	8.09%	7.90%	7.03%
Total Current Liabilities	29.27%	35.13%	26.32%	36.38%
Long-Term Debt	15.46%	9.62%	17.78%	30.93%
Long-Term Leases	18.21%	27.10%	39.05%	16.31%
Unearned Revenue, Non-Current	0.00%	0.00%	0.00%	1.01%
Pension & Other Post-Retire. Benefits	0.00%	0.32%	0.00%	1.85%
Def. Tax Liability, Non-Curr.	1.37%	0.50%	2.95%	0.00%
Other Non-Current Liabilities	1.63%	2.79%	0.96%	3.48%
Total Liabilities	65.94%	75.45%	87.06%	89.96%
Common Stock	0.02%	3.81%	0.00%	40.48%
Additional Paid In Capital	13.65%	0.00%	27.49%	0.00%
Retained Earnings	24.82%	22.52%	12.77%	-30.53%
Treasury Stock	-4.43%	0.00%	-27.75%	0.00%

Comprehensive Inc. and Other	0.00%	-1.79%	0.44%	0.09%
Total Common Equity	34.06%	24.55%	12.94%	10.04%
Total Equity	34.06%	24.55%	12.94%	10.04%
Total Liabilities And Equity	100.00%	100.00%	100.00%	100.00%

Appendix H: Common-Size Income Statements

Compiled Common Size IS	ROST	TJX	BURL	JWN
Revenue	100.00%	100.00%	99.91%	96.77%
Finance Div. Revenue	0.00%	0.00%	0.00%	3.23%
Other Revenue	0.00%	0.00%	0.09%	0.00%
Total Revenue	100.00%	100.00%	100.00%	100.00%
Cost Of Goods Sold	67.83%	63.53%	57.46%	63.32%
Gross Profit	32.17%	36.47%	42.54%	36.68%
Selling General & Admin Exp.	20.84%	25.77%	33.68%	32.83%
Depreciation & Amort.	0.00%	0.00%	3.16%	0.00%
Other Operating Expense/(Income)	0.00%	0.00%	-0.10%	0.00%
Other Operating Exp., Total	20.84%	25.77%	36.74%	32.83%
Operating Income	11.32%	10.69%	5.80%	3.86%
Interest Expense	-0.36%	-0.15%	-0.81%	-0.93%

Interest and Invest. Income	1.17%	0.46%	0.25%	0.22%
Net Interest Exp.	0.81%	0.31%	-0.55%	-0.71%
Other Non-Operating Inc. (Exp.)	0.00%	0.00%	0.17%	0.00%
EBT Excl. Unusual Items	12.13%	11.01%	5.41%	3.15%
Restructuring Charges	0.00%	0.00%	0.00%	-1.93%
Merger & Related Restruct. Charges	0.00%	0.00%	-0.16%	0.00%
Asset Writedown	0.00%	0.00%	-0.07%	-0.22%
Other Unusual Items	0.00%	0.00%	-0.40%	0.00%
EBT Incl. Unusual Items	12.13%	11.01%	4.79%	1.00%
Income Tax Expense	2.93%	2.75%	1.30%	0.09%
Earnings from Cont. Ops.	9.20%	8.25%	3.49%	0.91%
Net Income	9.20%	8.25%	3.49%	0.91%
NI to Common Incl Extra Items	9.20%	8.25%	3.50%	0.91%
NI to Common Excl. Extra Items	9.20%	8.25%	3.50%	0.91%